

The Spending Mirage

Why Germany Has Money but No Capacity to Decide

A field guide to the twin deficit holding Germany back – and how to rebuild the ability to decide, execute, and learn.

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Country Report · Germany

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Executive Summary

Germany has money. What it lacks is the ability to deploy it wisely. This is not a spending problem; it is a system capacity problem.

The country suffers from a **twin deficit**:

- **Outer capacity** — the administrative and digital infrastructure that allows decisions to be executed efficiently. Permitting delays, fragmented jurisdictions, and coordination failures consume billions before a single euro reaches its intended destination.
- **Inner capacity** — the collective cognitive and cultural ability to perceive complexity, tolerate uncertainty, learn from experience, and imagine futures beyond industrial-era templates. Without it, the system defaults to old reflexes and cannot see its real choices.

These two deficits reinforce each other. Addressing only one leaves the other as a bottleneck. The current public debate—

what should we spend on?

—is itself a symptom of depleted capacity.

The core argument: Germany's priority should not be another round of sectoral allocation. It should be a deliberate, strategic investment in the adaptive capacity of the whole system—the ability to sense, decide, execute, and learn at the speed of the challenges it faces.

The proposal: A capacity-first framework that upgrades outer execution hardware (digital permitting, polycentric coordination, regulatory pruning, a National Digital Twin) while cultivating inner sensemaking infrastructure (education for complexity, futures literacy, cognitive resilience). These investments are organized around living testbeds—energy, circular economy, integrated mobility and housing—where outer and inner capacity prove themselves together.

The transition: The report names the political immune system that will resist such upgrades and proposes a transition architecture—Trojan Horse mechanisms, cross-ideological funding covenants, and Safe-to-Fail Pilot Regions—that works with institutional resistance rather than against it.

The first step: Launch 3–5 Adaptive Governance Pilot Regions, protected from central veto and designed for continuous learning, to demonstrate a new logic of governance and let success spread virally.

The ultimate goal: A Germany that is not merely wealthy, but capable—a learning society permeable to its own emerging future.

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1. The Invisible Deficit

Germany faces a strange kind of poverty.

Not a poverty of resources. The federal government has fiscal room that would have seemed unimaginable a generation ago. The public balance sheet, even after recent shocks, is the envy of most industrialized democracies. An infrastructure fund of half a trillion euros has been agreed upon. Money, for once, is not the bottleneck.

And yet the public conversation has an oddly hollow quality. It circles endlessly around the same question—

what should we spend it on?

—without ever landing. Defence. Climate. Pensions. Bridges. Digitalization. Each proposal generates more friction than momentum. The debate feels exhausted and exhausting, as though the country is standing in a warehouse full of raw materials with no blueprint, no tools, and no agreement on what the building is for.

This is usually framed as a political problem: a failure of leadership, a clash of ideologies, a lack of vision. And there is some truth in all of that. But the deeper issue is structural. It sits beneath the level of any particular policy or party. The reason Germany cannot decide what to spend money on is that the system through which Germany senses problems, makes decisions, executes projects, and learns from results has degraded. Money is being injected into a body that struggles to metabolise it.

The deficit is not capital. The deficit is **adaptive capacity**.

The Reframe

This essay proposes a different starting point for thinking about Germany’s current moment. It suggests that the question

what should we spend on?

is already a symptom of the problem. It is the kind of question a system asks when it has lost the ability to generate better questions.

A healthier system would not need a single, grand answer to that question. It would be capable of running multiple answers in parallel, sensing which ones work, and continuously adjusting course. It would treat money not as a solution to be allocated, but as a probe—a way to test assumptions, build capability, and reveal new possibilities.

Germany does not lack worthy projects. It lacks the systemic ability to convert intention into impact. The country is rich in euros but poor in the capacity to deploy them wisely. That capacity has two dimensions—an outer one and an inner one—and both have been neglected.

The Twin Deficit

Outer capacity is the hardware: the administrative plumbing, digital infrastructure, regulatory coherence, and coordination mechanisms that allow decisions to travel from intention to outcome. When outer capacity is low, permitting takes a decade, data sits in silos, jurisdictions block one another, and even the simplest infrastructure project becomes an epic of procedural endurance. Germany is bleeding money into friction.

Inner capacity is the operating system: the collective ability to perceive complexity, tolerate uncertainty, learn from surprise, and imagine futures that are not merely extensions of the past. When inner capacity is low, a society cannot see the real choices in front of it. It defaults to industrial-era reflexes, treats novel challenges as variations of old problems, and becomes politically allergic to experimentation. Germany is suffering from a crisis of imagination that no amount of fiscal firepower can resolve.

These two deficits reinforce each other. Fast pipes with a slow operating system just accelerate old logic. A wise operating system with no pipes remains a beautiful thought experiment. Germany has been under-investing in both for decades, and the present paralysis is the bill coming due.

What Follows

This essay is not a list of spending proposals. There will be no sector-by-sector shopping list, no menu of infrastructure projects, no ranking of policy priorities. If the diagnosis is correct—that the core deficit is capacity, not capital—then the treatment must be capacity-building, not a new round of allocation debates.

What follows is a field guide to that capacity. It describes the outer hardware Germany needs to rebuild: the digital and administrative infrastructure that makes fast, intelligent execution possible. It describes the inner operating system Germany needs to cultivate: the cognitive, emotional, and cultural capacities that make wise decision-making possible under conditions of deep uncertainty.

It also looks squarely at the political immune system that will resist any such upgrade—and proposes a way of working with that resistance rather than simply denouncing it. The final section outlines a concrete first step: a network of Adaptive Governance Pilot Regions where the new logic can be tested, demonstrated, and allowed to spread.

The argument is not that Germany should stop caring about what to spend on. It is that Germany will only become capable of answering that question well once it has rebuilt the capacity to decide, execute, and learn. The spending mirage is the belief that more money can solve a problem that is fundamentally about the system through which the money flows.

A Note on the Reader

This essay was written for the person who already senses that something is off. Not a specialist, not necessarily a policy professional—but someone who has noticed that the public conversation feels stuck, that the old categories don’t capture what’s happening, and that there must be a more satisfying way of making sense of the present moment. If that describes you, welcome. What follows is an attempt to give that intuition a language and a structure.

2. The Spending Mirage

2.1 The Surface Story

Germany is, by most measures, remarkably wealthy. The public sector has fiscal headroom that other European governments eye with a mixture of envy and frustration. In mid-2024, a constitutional compromise unlocked over half a trillion euros for infrastructure and defence over the coming decade. The Sondervermögen has been agreed upon. The money, in principle, is there.

And yet the public conversation has the texture of an exhausted argument between relatives who have had the same disagreement for twenty years. The question—

what should we spend it on?

—is asked repeatedly, earnestly, as though the main obstacle were a shortage of good ideas. Commissions are convened. Position papers are published. Each interest group, naturally, identifies its own domain as the most urgent. The result is a debate that generates heat but no forward motion: a vast, circular expenditure of political energy that leaves the money sitting in the warehouse while the debate turns inward and stale.

This is the surface story. It is accurate as far as it goes, but it mislocates the problem. The paralysis is not caused by a lack of worthy spending targets. It is caused by a system that has become astonishingly good at absorbing money into its own friction.

2.2 The Usual Suspects

The standard debate organises itself around four familiar claimants, each with a compelling moral and practical case. The problem is not that any of them is wrong. The problem is that none of them, pursued in isolation through the current machinery, will deliver what their advocates hope.

Defence. The Zeitenwende announced a necessary and long-overdue modernization of the Bundeswehr. But defence spending, when it pours into a procurement system famous for producing cost overruns and decade-long delays, does not automatically produce military readiness. It produces expensive administrative activity. The money is being allocated, but the system through which the money flows has not been recalibrated to absorb a sudden surge. Without upgrading the procurement and planning apparatus alongside the budget, the Zeitenwende risks becoming a well-funded bottleneck.

Infrastructure. The bridges are crumbling. The rail network is sclerotic. Broadband expansion is chronically behind schedule. This is not a secret; it has been diagnosed for years. The infrastructure fund is a serious commitment, but it collides with a permitting and planning regime that can stretch a wind turbine approval to seven years and a rail upgrade to over a decade. If the administrative throughput remains unchanged,

injecting half a trillion euros into the pipeline will not produce half a trillion euros of outcomes. It will produce inflated land prices, consultant fees, legal disputes, and a very slow, very expensive trickle of actual construction.

Welfare and Pensions. An ageing society makes legitimate claims on the state's resources. But pension top-ups, subsidies, and untargeted transfers are the spending equivalent of a warm bath: politically soothing, systemically inert. They maintain the current social contract without building the capacity to adapt to the demographic transformation already underway. They are consumption, not investment.

Climate and Energy Transition. The Energiewende is simultaneously a moral imperative and an industrial opportunity. But it is being pursued through a centralised, subsidy-heavy model that rewards large incumbents, provokes local resistance, and moves at a pace misaligned with the urgency of the problem. A smarter energy system—decentralised, adaptive, community-owned—would require a different regulatory architecture, not just more money in the existing channels.

Each of these causes is justifiable in its own terms. The stalemate arises because each camp argues for

its

sector to receive the money as though the existing system were a clean pipe that simply needs more flow. It isn't. The pipe is clogged, rusted, and in some places entirely blocked. The argument over who gets to pour their bucket in first is not the main event.

2.3 The Friction Machine

To understand why more money will not yield proportionally more results, it helps to look briefly at what actually happens when a public project is funded in Germany today.

Suppose the government authorised a new rail line tomorrow. The first thing the money encounters is not steel and concrete; it is a thicket of overlapping jurisdictions, environmental assessments, local objections, and court proceedings. The project must negotiate the requirements of federal, state, and municipal bodies that are structurally under-incentivised to coordinate. Digitised planning data often does not exist or sits in incompatible formats across different offices. The decision-making chain is long, the feedback loops are slow, and the accountability for delays is diffuse. Years pass. The original budget becomes a historical artefact. By the time a shovel enters the ground, a significant fraction of the allocated capital has been consumed by the process itself.

This is not a story about one broken agency or a particular piece of legislation. It is an emergent property of a system that was designed for an era of slower change, fewer interdependencies, and more predictable conditions. The system is not malicious. It is simply designed to minimise risk and maintain stability, and it does so by multiplying the steps required to act. In a world of accelerating complexity, stability-through-paralysis becomes its own kind of fragility.

When you inject large sums of money into such a system, the money does not simply disappear, but it transforms into something else: inflated land acquisition costs, legal fees, consultancy contracts, and the quiet erosion of public trust as citizens watch billions evaporate into procedural mist. The spending mirage is the belief that a larger number on a budget line translates directly into a better bridge, a faster train, or a cleaner grid. In a high-friction system, it does not.

2.4 The Real Question

At this point, a certain kind of exasperation often arises:

> *so what are you saying, that we should just not spend? That we can't do anything?*

The answer is the opposite. The point is not that spending is futile. The point is that spending without first upgrading the capacity to spend wisely is wasteful. And the higher the sums involved, the more acute the waste.

The real question, then, is not *what should we spend on?* It is *how do we become a society that can decide, execute, and learn at a tempo commensurate with the problems we face?* The question shifts from allocation to architecture, from sectoral advocacy to system design.

This is the pivot that the rest of the essay makes. Before we can talk sensibly about what to fund, we have to talk about what it would mean to rebuild the capacity to fund anything intelligently. That capacity has two dimensions—outer and inner—and it is to that twin deficit that we now turn.

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3. The Twin Deficit: A New Diagnosis

3.1 What "System Capacity" Actually Means

The term "capacity" has a bureaucratic ring. In government contexts it often means something narrow: staffing levels, IT systems, the number of people who can process a certain form per hour. That is not what is meant here.

System capacity, in the sense that matters for Germany's current situation, is **adaptive capacity**: the ability of a society to sense what is happening in its environment, make decisions of appropriate complexity, execute those decisions efficiently, learn from the results, and adjust course—all at a speed that matches the rate of change in the world around it.

This is not a single thing. It is a composite capability distributed across institutions, infrastructure, cultural habits, and cognitive skills. When it is high, a society can absorb shocks, redirect resources, and generate new responses without breaking. When it is low, even routine challenges produce gridlock, and large sums of money disappear into the machinery without visible results.

Germany is not suffering from a failure of intention, a shortage of expertise, or a moral deficit. It is suffering from a quiet, chronic, largely undiagnosed erosion of adaptive capacity. The erosion has two dimensions, which we will call outer capacity and inner capacity.

3.2 Outer Capacity: The Hardware

Outer capacity is the institutional and digital infrastructure through which collective decisions travel from intention to outcome. It includes permitting processes, regulatory frameworks, data systems, inter-agency coordination protocols, and the administrative apparatus that turns political will into physical reality. Think of it as the hardware of the state: the circuits that carry the signals and the pipes that deliver the resources.

When outer capacity is high, a decision to build a new energy interconnection, approve a drug, or open a visa processing centre moves through a transparent, digitised sequence of steps with clear ownership, predictable timelines, and minimal friction. Delays are exceptions that trigger rapid learning, not permanent features of the landscape.

When outer capacity is low, even simple processes become multi-year odysseys. A few examples from contemporary Germany:

Permitting. The approval process for a single onshore wind turbine now averages between five and seven years. Some projects stretch beyond a decade. The required documentation runs to thousands of pages, distributed across overlapping local, state, and federal authorities that rarely coordinate horizontally. Meanwhile, the climate targets that the same wind turbines are meant to meet become more urgent and more distant with each passing year.

Rail infrastructure. The Fehmarn Belt tunnel connecting Germany to Denmark will be completed by the Danish side on schedule. The German rail connections required to make the tunnel functional are, at time of writing, still in planning purgatory—a routine example of infrastructure that is funded but not executable because the planning system cannot absorb the ambition.

Digitisation. Germany's school system, to take just one sector, was caught without functional digital infrastructure during the pandemic not because money was absent but because years of federal funding for school digitisation had been disbursed but not spent. The money arrived in municipal accounts but collided with understaffed IT departments, incompatible procurement rules, and a thicket of local variation that made coordinated action nearly impossible. The capital was present; the capacity to convert it into laptops and learning platforms was not.

These are not isolated horror stories. They are symptoms of a system in which the outer hardware has been allowed to age and calcify while the demands placed upon it have grown more complex and more urgent. The problem is not that the state is too large or too small. The problem is that it is too slow, too fragmented, and too rigid.

And the cost is not only financial. It is also political. When citizens observe billions being allocated to projects that never seem to materialise, trust decays. The outer capacity deficit becomes a democratic liability.

3.3 Inner Capacity: The Operating System

If outer capacity is the hardware, inner capacity is the operating system. It is the collective cognitive, emotional, and cultural capability with which a society perceives its situation, interprets complexity, tolerates uncertainty, and imagines alternatives.

This might sound abstract or even esoteric. But it has concrete, measurable consequences. The quality of a government's decisions depends not only on the information available to it, but on the cognitive frames, mental models, and emotional maturity through which that information is filtered. A system can have excellent data and still make catastrophic choices if its interpretive apparatus is stuck in a previous era.

Consider the following dimensions of inner capacity:

Complexity Perception. Many of Germany's most pressing challenges are what systems theorists call "wicked problems": they involve multiple interacting variables, conflicting values, and feedback loops that defy linear cause-and-effect reasoning. Pensions, energy transition, migration, and economic competitiveness are not separable items on a ministry's agenda; they are deeply entangled. Addressing them well requires the capacity to perceive the entanglement—to see systems, not just sectors. When that capacity is low, the response to complexity is fragmentation: each ministry optimises its own domain, and the interactions between domains generate unintended consequences that then become new crises.

Uncertainty Tolerance. A healthy adaptive system can act decisively under conditions of incomplete information, adjust when new data arrives, and avoid the twin traps of paralysis-by-analysis and rigid over-commitment. Germany's current political culture exhibits a pronounced difficulty with this. The preference is for comprehensive certainty before action, exhaustive modelling before experimentation. This is framed as prudence, and it has its virtues. But when the rate of environmental change exceeds the rate of analysis, the pursuit of certainty becomes a form of delay, and delay is itself a decision with consequences.

Imagination and Futures Literacy. The ability to envision multiple plausible futures—not just a linear projection of the present—is a core adaptive capacity. It allows a society to spot emergent risks and opportunities before they become obvious, and to invest in capabilities that are robust across a range of scenarios rather than optimised for a single predicted world. The German public conversation is notably thin in this register. Debates about the future tend to be dominated by extrapolations of existing trends and demands to preserve current structures. The result is a society that is repeatedly surprised by events—the financial crisis, the migration surge, the energy shock—that had been visible on the horizon but were not metabolised into planning.

Emotional and Relational Maturity. This is perhaps the most neglected dimension. Collective decision-making is not purely a cognitive exercise. It occurs in a social field charged with anxiety, identity threats, institutional rivalries, and the lingering residues of historical experience. A society that cannot process grief, uncertainty, or the loss of status will repeatedly project those emotions onto political conflicts, making them irresolvable through purely rational argument. Investing in "soft" infrastructure—mental health, trauma integration, conflict facilitation, community resilience—is not a therapeutic luxury. It is a hard-edged contribution to state capacity, because it determines whether complex information can be discussed without immediate tribal polarisation.

Translating Inner Capacity into State Capability Language:

To be maximally clear, none of this is a call for Germany to become a nation of meditators or self-help enthusiasts. It is the recognition that:

- Decision quality under uncertainty is a function of cognitive complexity, not just data quality.
- Crisis response speed depends on the emotional regulation of key decision-makers and the trust levels within teams.

- Policy adaptability requires a workforce and citizenry capable of learning, unlearning, and relearning throughout life—not just in the first two decades.
- Economic innovation arises from a culture that can tolerate experimentation and failure, not just from R&D budgets.

These are empirical claims, testable and observable. They are routinely applied in high-performing organisations. They are rarely applied to the state, because the state is assumed to be a machine rather than a living system. That assumption is part of the deficit.

3.4 The Vicious Cycle

The outer and inner deficits are not independent. They form a reinforcing loop.

Low outer capacity produces friction: delays, cost overruns, coordination failures. These experiences generate frustration, cynicism, and a learned helplessness among citizens and civil servants alike. The belief that "nothing can be done" becomes a self-fulfilling prophecy. As trust declines, the political system becomes more risk-averse, more focused on blame-avoidance than on experimentation. This further reduces inner capacity—the willingness to imagine, to learn, to try. And the cycle tightens.

Conversely, low inner capacity produces poor decisions and an inability to see systemic interactions. Money is allocated to projects that collide with one another or with hidden regulatory obstacles. The resulting failures are then blamed on incompetence or malice, deepening the cultural aversion to risk. The outer hardware, already strained, is forced to manage the consequences of decisions made without adequate sensemaking. The hardware becomes even more overloaded and sclerotic.

Breaking this cycle requires addressing both dimensions simultaneously. Upgrading the hardware without upgrading the operating system just accelerates the execution of old logic. Upgrading the operating system without the hardware to execute leaves good ideas stranded. The twin deficit must be met with a twin response.

The next section describes what that response looks like in practice—not as a list of sectoral spending proposals, but as a strategic investment framework organised around the capacities Germany needs to rebuild.

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4. What Building Capacity Actually Looks Like

The twin deficit diagnosis carries a practical implication: if Germany's core problem is not a lack of money but a lack of adaptive capacity, then the central task is not to produce a better list of spending targets. It is to invest deliberately in the capabilities that make intelligent spending possible in the first place—and then to let those capabilities reveal what is worth doing.

This section describes what that investment looks like in practice. It is organised around three categories: upgrading the outer hardware, cultivating the inner operating system, and building living infrastructure testbeds where the two prove themselves together. None of these are sectors. None belong to a single ministry. They are the enabling substrate on which future sectoral decisions will either succeed or fail.

4.1 Upgrading the Outer Hardware

If the state is to execute at the speed of its challenges, its institutional circuitry needs a generational overhaul. This is not about cutting red tape as a generic slogan. It is about specific, high-leverage interventions that reduce the friction between intention and outcome.

Digital-first Permitting and Unified Data Fabrics. The single highest-return investment Germany can make in its outer capacity is a national digital permitting platform. Today, an infrastructure project must navigate dozens of authorities, each with its own forms, standards, and information systems. The result is a bureaucratic relay race in which the baton is dropped at every handover. A unified digital platform—where applications are submitted once, data is shared across jurisdictions, and processing milestones are tracked transparently—would not merely accelerate individual projects. It would make visible the bottlenecks that are currently invisible, allowing systemic improvement rather than anecdotal frustration.

This is not science fiction. Estonia's e-governance infrastructure processes the vast majority of public services through a single, secure digital identity layer. Building permits that take months elsewhere are issued in days. The technology exists. The barrier is not technical; it is the thicket of legacy data regimes and institutional reluctance to cede informational sovereignty. That reluctance is precisely what must be overcome.

Polycentric Coordination. Efficiency is not the same as centralisation. A genuinely adaptive outer capacity requires decision-making authority distributed to the level where the relevant information lives. Municipalities and regions need the autonomy to act, but within a federated architecture that ensures coordination without top-down control. This means investing in interoperable data standards, shared digital infrastructure, and coordination protocols that allow local initiatives to link up into coherent regional and national systems. The model is not a command hierarchy. It is a nervous system.

A National Digital Twin. Before spending billions on physical infrastructure, Germany should invest in the ability to simulate the second- and third-order effects of major policy and investment decisions. A National Digital Twin—a real-time, data-integrated model of the German economy, infrastructure, and resource flows—would allow policymakers to war-game scenarios, spot hidden interdependencies, and identify unintended consequences before they materialise. Hamburg and Helsinki already operate urban digital twins for energy and transport planning. Scaling this to the national level, in a modular and phased way, is an achievable engineering challenge that would pay for itself many times over in avoided misinvestment.

Algorithmic Legal Pruning. Germany's legal code is an immense, layered sedimentary deposit. New laws are added continuously. Old ones are rarely removed. The resulting contradictions and deadlocks are a major source of administrative paralysis. A sovereign AI system, trained on the entire body of German law, could map regulatory conflicts, identify obsolete provisions, and propose coherent simplifications. This is not algorithmic governance in the sense of machines making political choices. It is a diagnostic tool that reveals the accumulated complexity human lawmakers have lost the ability to see. Pruning the legal underbrush is unglamorous, deeply technical work—and among the highest-leverage investments available.

These four initiatives—digital permitting, polycentric coordination, a national digital twin, and algorithmic legal pruning—constitute a coherent outer capacity upgrade. They are mutually reinforcing. Together, they could reduce administrative throughput times by an order of magnitude. The permitting that currently takes a decade could realistically be compressed to two or three years. The infrastructure fund that is currently being absorbed by friction could begin to deliver visible outcomes. The outer hardware would no longer be the bottleneck.

4.2 Cultivating the Inner Operating System

If the outer hardware determines how fast decisions can be executed, the inner operating system determines whether the decisions being executed are wise. Germany's cognitive and cultural infrastructure has been neglected for at least a generation. Rebuilding it requires investments that may sound unfamiliar to a traditional policy audience, but which are anchored in well-established findings from cognitive science, organisational psychology, and innovation research.

Education for Complexity. The German education system was designed for a world in which knowledge was stable, careers were linear, and the primary cognitive demand was the reliable reproduction of established procedures. That world no longer exists. The emerging world requires not just knowledge acquisition but sense-making: the ability to hold multiple perspectives simultaneously, to reason about dynamic systems, to distinguish signal from noise in overwhelming information environments, and to update one's mental models when evidence contradicts them.

Concretely, this means embedding systems thinking and epistemic literacy throughout the curriculum—not as an extracurricular add-on, but as a core competence alongside numeracy and literacy. It means training teachers not just in content delivery but in facilitating the developmental growth of their students. It means creating assessment methods that reward the quality of reasoning and the ability to reframe problems, not just the reproduction of correct answers. These are not vague aspirations. They are design choices, implementable in curricula, teacher training programmes, and assessment frameworks, with precedents in Singapore, Finland, and British Columbia.

Lifelong Adaptive Learning. The idea that education ends at twenty-five is a relic of a demographic and economic structure that no longer obtains. A capacity-oriented state would equip every citizen with a personal lifelong learning account—a portable, publicly funded entitlement to continuous upskilling and reskilling, usable at accredited institutions ranging from technical bootcamps to leadership retreats to courses in systems thinking. This is not retraining in the narrow, reactive sense of preparing displaced workers for the next available job. It is an investment in the population's general adaptive capability: the capacity to learn new things throughout life, to pivot when circumstances change, and to contribute to collective intelligence regardless of age.

Mental Health and Cognitive Infrastructure. The state has long accepted responsibility for physical infrastructure—roads, grids, water systems. It has been slower to recognise that psychological and cognitive infrastructure is equally foundational. Depression and anxiety are among the leading causes of lost productivity. Chronic stress degrades decision-making quality. A population that is psychologically depleted cannot sustain the emotional regulation, curiosity, and collaborative capacity that complex governance requires.

Investing in mental health access is not merely a compassionate social programme. It is a direct investment in state capacity. The same holds for initiatives that build resilience, conflict facilitation skills, and community cohesion. A nation that can process disagreement without tribal fracture, that can hold uncertainty without reflexive authoritarian closure, is a nation with a vastly more capable operating system. This is inner capacity made concrete.

Futures Literacy as Civic Competence. A final, essential element: Germany should invest in making futures thinking a broadly distributed civic skill. Futures literacy—defined by UNESCO as the ability to understand the role of the future in what we see and do—is not about prediction. It is about expanding the repertoire of plausible futures a society can imagine, and thereby expanding the range of actions it can take in the present. Pilot programmes in Finland and Italy have shown that futures literacy workshops, even brief ones, measurably increase participants' sense of agency, complexity tolerance, and ability to identify emergent opportunities.

A national Futures Literacy drive, integrated into schools, public administration training, and community programmes, would begin to shift the collective operating system from one that is perpetually surprised by events to one that anticipates and adapts to a range of possible tomorrows. The cost is modest. The potential

return, in terms of reduced policy error and increased strategic agility, is vast.

4.3 Living Infrastructure: The Testbeds

Capacity does not develop in the abstract. It develops through application—through the attempt to solve real, complex problems that demand both outer execution and inner sensemaking. Germany needs a set of ambitious, integrated projects that serve as testbeds where the twin capacities can be built, demonstrated, and refined. These are not "sectors" to be funded. They are arenas where the new logic of governance can prove itself.

Energy as a Self-Balancing Ecosystem. The current Energiewende model is centralised at heart: large renewable installations, large grid operators, large subsidy regimes. A capacity-oriented approach would shift the emphasis toward a polycentric energy ecosystem. This means investing in community energy cooperatives, microgrids, AI-optimised demand-response systems, and local storage—creating a grid that is not a one-way pipe from producer to consumer but a living network that balances itself in real time. Outer capacity (smart grid infrastructure, digital coordination) and inner capacity (community decision-making, willingness to experiment with new ownership models) would develop together. The energy transition would become a laboratory for adaptive governance, not just a procurement programme.

Circular Economy as Design Protocol. A genuinely circular economy is not a waste management scheme with better recycling bins. It is a fundamental redesign of production and consumption so that all materials remain nutrients in a closed-loop system. This requires digital product passports that track material composition, open repair standards, remanufacturing networks, and new business models that reward durability over disposability. Building this requires the outer capacity of data interoperability and standards-setting, and the inner capacity to shift deeply held cultural assumptions about ownership, growth, and disposability. Germany’s Mittelstand, with its deep engineering culture, is uniquely positioned to pioneer circular models at scale—if the enabling infrastructure is provided.

Integrated Mobility, Housing, and Land Use. Germany’s housing crisis, transport congestion, and climate targets are not separate problems. They are a single spatial system expressed through different policy silos. A capacity-oriented approach would create integrated planning frameworks at the regional level that treat housing, transport, energy, and green space as a single design challenge. This demands outer capacity: harmonised zoning data, cross-state coordination platforms, transparent approval pipelines. And it demands inner capacity: the ability of communities to deliberate trade-offs, to tolerate density, to reimagine the relationship between city and countryside. A handful of regions could serve as pioneers, demonstrating that integrated spatial governance is not only possible but superior in outcomes to the current fragmented model.

These living infrastructure testbeds are not an exhaustive list. They are exemplars of a different way of thinking about public investment. In each case, the primary output is not a bridge, a turbine, or a recycling plant. The primary output is the

capacity to produce such things intelligently in the future

. The physical results are the visible proof that the new logic works. Their true value is in the learning they enable and the confidence they build.

What unifies these three investment domains—outer hardware, inner operating system, and living testbeds—is that they are all investments in the system's ability to invest well. They do not compete with sectoral priorities. They are the prerequisite for any sectoral priority to be realised without being consumed by friction or distorted by impoverished sensemaking.

The next section confronts the uncomfortable reality that has been lurking beneath this entire discussion: even the most intelligently designed capacity investments will encounter fierce resistance from the very system they seek to upgrade. Understanding that resistance—and designing around it—is the subject to which we now turn.

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5. The Political Immune System

5.1 Why Good Ideas Die

Every organisation, every bureaucracy, every political order develops a set of defences. These are not conspiracies. They are emergent properties of any system that has persisted long enough to develop a stable identity, a distribution of power, and a set of routines that allow it to function. In biology, the immune system protects the body by identifying and neutralising foreign agents—even when those agents might, in another context, be beneficial. Something analogous happens in institutional life.

When a genuinely novel proposal enters a mature bureaucracy, it is not evaluated purely on its merits. It is scanned for threat. Will it shift power from one department to another? Will it make a previously critical function redundant? Will it expose a settled compromise as inadequate? Will it require people who have spent decades mastering one set of procedures to abandon them and learn something else? If the answer to any of these questions is yes—and for a capacity-oriented reform, the answer will be yes to all of them—the system's defences activate. Not because the people involved are venal or obstructive by nature, but because the system is structurally configured to preserve its existing logic.

The result is a pattern that anyone who has worked in or around large institutions will recognise. The proposal is praised in principle and referred to a committee. The committee identifies unresolved details and requests further study. The study finds that the proposal is promising but complex, and recommends a pilot. The pilot is designed in such a constrained way that it cannot possibly generate threatening results. Years pass. The moment of urgency that made the proposal possible fades. The idea survives, if at all, as a ghost in a strategy document, periodically invoked and never acted upon.

This is not an argument against institutions. Institutions are necessary containers for collective action. The point is that institutions have a characteristic immune response to novelty, and any serious attempt to change how a society decides and executes must reckon with that response directly. Wishing it away, or denouncing it as mere obstructionism, is a failure of strategic thinking.

5.2 The Gainers and the Losers

To design around the immune system, one must first map it. A capacity-oriented reform agenda—of the kind outlined in the previous section—would reconfigure the German state in ways that create clear winners and equally clear losers. Naming them is not an act of aggression. It is a prerequisite for honest strategy.

Those who stand to gain are the diffuse and disorganised beneficiaries of a more capable state. Citizens who currently wait months for a building permit, months more for a visa appointment, and years for a train connection that was promised a decade ago. Small and medium-sized enterprises that lack the legal departments to navigate regulatory complexity and lose contracts to larger competitors who can afford the compliance overhead. Municipal leaders who want to act but are trapped between federal mandates and state-level veto points. Innovators and civic entrepreneurs who have ideas for public goods but cannot find a door into the procurement and approval labyrinth. These are real constituencies, but they are latent. They do not have a dedicated lobby in Berlin. Their frustration is ambient and disorganised, and they rarely recognise each other as sharing a common cause.

Those who stand to lose are more concentrated and more institutionally articulate. Three categories deserve particular attention:

First, **administrative fiefdoms**. The German system distributes significant power across federal ministries, state governments, regulatory agencies, and municipal bodies. Each of these nodes enjoys a degree of sovereignty over its domain. A digital-first permitting platform that creates transparency and cross-jurisdictional data sharing is, from the perspective of any single agency, a loss of control. The agency that previously decided things in its own way, on its own timeline, now becomes a node in a visible network with standardised expectations. The loss is real. The work of managing that loss without triggering all-out institutional warfare is delicate.

Second, **regulatory moat incumbents**. Many large firms, and not a few professional service providers, have adapted successfully to the current high-friction environment. They have built internal capabilities—legal departments, consultancy relationships, lobbying networks—that turn administrative complexity into a competitive advantage. A faster, simpler, more transparent regulatory environment would erode those moats. The same firms would never publicly oppose "efficiency" or "modernisation," but they have strong incentives to ensure that any reform preserves enough complexity to maintain their relative advantage.

Third, **ideological gatekeepers**. Germany's political landscape is structured around relatively stable ideological camps. Each camp has a well-rehearsed critique of the others, and a well-defended conception of what counts as a legitimate policy proposal. A capacity-building agenda that refuses to fit neatly into any single camp's categories—that is neither left nor right, neither market-fundamentalist nor state-expansionist—risks being rejected by all of them as insufficiently pure. For a Green purist, funding cross-ideological collaboration platforms that include industrial incumbents can look like capitulation. For a free-market Orange purist, investing in public mental health as "state capacity infrastructure" can look like category error or disguised welfare expansion. The gatekeepers on all sides have a stake in preserving the familiar terms of debate.

Naming these interest groups and their structural incentives is not an accusation of bad faith. It is a description of the terrain. Most of the people involved are acting rationally within the logic of their positions. The problem is that the aggregate result of their rational actions is systemic paralysis.

5.3 The Policy Mindsets at Play

Beneath the interest-group map lies a deeper pattern: the different value systems through which people interpret what the state is for and how it should act. Without this lens, the political immune response can seem merely irrational or perverse. With it, the response becomes legible—and therefore navigable.

A light framework is useful here. Different policy actors tend to operate from different centres of gravity in how they think about governance and resource allocation. These are not personality types or party affiliations, though they correlate loosely with both. They are underlying logics that shape what counts as a convincing argument.

One logic, which we might call the **order-and-stability mindset**, prioritises predictability, procedural correctness, and the integrity of established structures. From this perspective, the German system's slowness is not a bug but a feature. Deliberation, multiple checkpoints, and layered approvals prevent rash decisions and protect citizens from arbitrary state action. A reform agenda that talks about "speed" and "experimentation" sounds to this mindset like a threat to the rule of law and the safeguards built up over generations.

A second logic, which we might call the **achievement-and-efficiency mindset**, prioritises outcomes, competitiveness, and measurable results. From this perspective, Germany's administrative slowness is a frustrating drag on economic dynamism, and digitalisation and streamlining are obvious goods. But this same mindset is often hostile to the "inner capacity" dimension of reform. Investments in mental health, complexity perception, or futures literacy sound vague, costly, and lacking in measurable return on investment. This logic wants better pipes; it is sceptical that the operating system needs upgrading.

A third logic, which we might call the **inclusion-and-care mindset**, prioritises equity, participation, and protection of the vulnerable. From this perspective, the state's role is to ensure that no one is left behind, that communities have a voice, and that progress does not come at the expense of social cohesion. This mindset is naturally sympathetic to some elements of inner capacity building—mental health, community resilience—but deeply suspicious of others. Efficiency gains can sound like code for deregulation and the abandonment of hard-won social protections.

Each of these mindsets has a partial grasp of the truth. None is wrong on its own terms. And each will react to a capacity-building agenda by accepting the parts that resonate with its logic and rejecting the parts that offend it, thereby fragmenting the agenda before it can cohere. The challenge is not to defeat any of these mindsets or to prove one of them correct. The challenge is to frame the agenda in a way that makes it legible and attractive across all three—without surrendering the integrative core that makes it Yellow.

5.4 The Narrative Strategy

Given the immune system described above, the way the capacity-building agenda is

talked about

is not peripheral to its success. It is central. A Yellow reform proposal that announces itself as a Yellow reform proposal—explicitly second-tier, explicitly transcending old categories—will be rapidly neutralised. It will strike each mindset as alien and slightly threatening. The order-and-stability camp will see a chaotic dismantling of institutions. The achievement-and-efficiency camp will see an academic abstraction with no business case. The inclusion-and-care camp will see a technocratic project dressed in humanistic language.

The task, therefore, is to apply the Trojan Horse logic that will be discussed in the next section to the narrative itself. The agenda should be presented not as a radical break but as a **necessary modernisation of the state's capacity to serve its citizens**. The language should be drawn primarily from the outer capacity dimension—efficiency, speed, digitalisation, coordination—because these are the terms that the dominant Orange and Blue mindsets recognise as legitimate. The inner capacity dimension should be translated consistently into the language of state capability: decision quality, crisis readiness, economic adaptability, workforce resilience. Not "consciousness raising" but "cognitive infrastructure." Not "inner development" but "decision-making capacity under uncertainty."

At the same time, the narrative must offer something genuine to each mindset. For the order-and-stability camp, it must demonstrate that faster processes do not mean weaker safeguards—that algorithmic legal pruning, for example, increases legal coherence rather than undermining it. For the achievement-and-efficiency camp, it must show clear pathways to measurable outcomes: reduced permitting times, lower coordination costs, higher project throughput. For the inclusion-and-care camp, it must embed equity and participation as design requirements throughout—polycentric governance is inherently more participatory than centralised command, and the living infrastructure testbeds must include communities, not bypass them.

The core message is deceptively simple:

Germany is not broken, but it is slow. The world around it is not slowing down. The task is to make the system faster, smarter, and more connected—not by abandoning what works, but by upgrading the invisible infrastructure that determines whether good intentions become real outcomes.

This is a message that can be spoken from any political platform without contradiction. And it carries the full capacity-building agenda inside it.

The political immune system is powerful, but it is not omnipotent. It can be worked with, routed around, and in some cases gently decommissioned—provided one understands its structure and designs accordingly. The next section turns to the concrete mechanisms of that design: the transition architecture that gives the capacity-building agenda a chance of surviving contact with the system it intends to upgrade.

6. Working with the Grain: Transition Architecture

6.1 The Principle

There is a recurring fantasy in reform circles: the bold leader who, armed with a clear diagnosis and a compelling vision, announces a transformation and bends the system to their will. Sometimes this fantasy is dressed in the language of disruption, sometimes in the language of revolution. It rarely works. When it does, it leaves behind a residue of trauma and resistance that consumes the next wave of reform. The German system, with its distributed power, its multiple veto points, and its deeply embedded cultural preference for stability, is especially inhospitable to transformation-by-declaration.

But there is another tradition, less dramatic and more effective. It works not by attacking the immune system but by understanding it—by finding the pathways through which novelty can enter without triggering systemic rejection. This tradition has a long and quiet history: the incremental introduction of apparently technical changes that, over time, reconfigure the landscape of what is possible. The challenge for a capacity-building agenda is to be strategic about this process rather than leaving it to chance.

The principle is simple to state and difficult to execute: **work with the grain of the existing system while altering what the system considers possible**. Do not demand that institutions abandon their identities. Offer them new capacities that, once adopted, make the old limitations visible and the old arguments untenable. Let the transformation be pulled by demonstrated success rather than pushed by rhetorical force.

What follows are four concrete mechanisms for implementing this principle.

6.2 Trojan Horse Mechanisms

The term "Trojan Horse" has acquired a malign connotation in cybersecurity. But in institutional design, it describes something legitimate and powerful: a reform initiative that is framed and packaged in terms the existing system can accept, while carrying within it the seeds of a more fundamental shift.

Consider a concrete example. The German government could establish a **Federal Office for Administrative Coherence**—a name so dry, so reassuringly bureaucratic, that it would attract minimal ideological attention. Its stated mandate would be straightforward: identify duplicative regulations, reduce paperwork burdens on citizens and businesses, and recommend simplifications that save public money. This is a mission that the order-and-stability mindset can support (it makes the existing system more consistent), the achievement-and-efficiency mindset can champion (it reduces costs), and the inclusion-and-care mindset can accept (it makes the state more accessible to ordinary people).

But inside this anodyne wrapper, the Office would carry a more transformative payload. Its methodology would involve building a comprehensive digital map of the entire regulatory system—the first step toward the algorithmic legal pruning described in Section 4. Its recommendations would necessarily reveal the contradictions and deadlocks that currently remain invisible because no single institution can see across the whole. Its existence would create a precedent for cross-jurisdictional data sharing and systemic analysis that, once established, becomes difficult to reverse. The Office would not announce itself as a vehicle for adaptive governance. It would simply be a vehicle for making administration work better. And in making administration work better, it would quietly build the outer capacity infrastructure on which adaptive governance depends.

The same pattern can be applied to the inner capacity dimension. Rather than announcing a national "consciousness-raising programme" that would invite immediate ridicule, the government could embed futures literacy, systems thinking, and cognitive complexity training into existing professional development pathways: the civil service academy, the military staff college, the leadership programmes for school principals, the executive education offerings for public-sector managers. The framing is not "spiritual development" but "decision-making competence under conditions of uncertainty." The recipients experience an upgrade in their own capabilities. The system absorbs new cognitive tools without experiencing an immunological event.

The art of the Trojan Horse is to match the payload to the wrapper with precision. The more ambitious the underlying transformation, the more familiar the surface should appear. Change the substance; respect the form.

6.3 Cross-Ideological Funding Covenants

One of the immune system's most effective strategies is to keep potential coalitions for change fragmented. As long as the Green-leaning civil society group, the industrial Mittelstand association, and the municipal mayors' network are operating in separate silos, each can be managed, placated, or ignored individually. The immune system can handle distributed complaints. What it cannot easily handle is a coalition of structurally opposed actors making a shared demand.

The mechanism for creating such coalitions is what we might call a **cross-ideological funding covenant**. The principle is straightforward: a significant portion of public investment funds should be made available *only* to project consortia that include structurally diverse stakeholders—for example, an environmental NGO, a manufacturing firm, and a municipal government—who must co-design the proposal and share accountability for its outcomes.

This is not a suggestion that stakeholders who disagree should be forced to sit in a room and talk. It is a suggestion that the money should be conditional on their doing so, and on producing something concrete from the interaction. The funding covenant functions as a forcing device. It creates an economic incentive for exactly the kind of cross-silo collaboration that the existing system discourages.

The mechanism has several advantages. First, it surfaces hidden common ground. When an environmental group and a manufacturing firm are jointly responsible for designing a regional energy project, they discover practical solutions that neither would have developed alone—solutions that transcend the ideological caricatures each holds of the other. Second, it builds relationships that persist beyond the individual project, gradually weaving a social fabric that can support more ambitious reforms. Third, it produces outcomes that are politically resilient because no single faction can claim or disown them. The project is "owned" by a network, not by an interest group.

The covenant approach is not a substitute for democratic deliberation or representative decision-making. It is a complement—a way of building the collaborative muscle that makes deliberation productive rather than performative. Applied systematically across a range of investment domains, it would gradually shift the default posture of German governance from parallel monologues to joint problem-solving.

6.4 Safe-to-Fail Pilots

Bureaucracies fear experimentation because failed experiments create political liability. The standard response to this fear is to avoid experiments entirely and stick with proven procedures—even when those procedures are visibly failing in a changed environment. The alternative is not to abolish accountability but to change the accountability frame.

A **safe-to-fail pilot** is an experiment that is deliberately bounded in scope, explicitly framed as a learning exercise, and protected in advance from the normal consequences of falling short. The key design elements are:

First, the pilot must be genuinely bounded. It applies to a specific region, a limited timeframe, and a predefined set of activities. It does not threaten to immediately reconfigure the entire national system. The immune system can tolerate a small anomaly that it knows is temporary and contained.

Second, the pilot must have an explicit learning mandate. Its success is not measured solely by whether it achieves its stated targets but by whether it generates knowledge that improves future decision-making. A pilot that reveals an unexpected obstacle or a flawed assumption is successful in learning terms, even if its performance metrics are mixed. This reframing must be established in the pilot's governance documents and public communications from the beginning.

Third, the pilot must have political cover. A senior minister, a state premier, or a cross-party coalition must publicly declare that the pilot is an experiment, that mixed results are expected, and that the participants will not be punished for honest failure. This cover does not need to be permanent, but it must be sufficient to see the pilot through its initial learning cycles.

The Adaptive Governance Pilot Regions proposed in Section 7 are the primary vehicle for this approach. They would be designated as explicitly experimental zones, with regulatory exemptions where necessary, protected evaluation frameworks, and a mandate to try approaches that could not yet be deployed nationally. Their function is not to provide a blueprint that others must copy, but to generate visible proofs that a different way of governing is possible—proofs that, over time, become harder to dismiss than to adopt.

6.5 Scaling by Attraction

The final element of the transition architecture concerns how successful pilots translate into systemic change. The traditional model is replication-by-mandate: the centre studies the pilot, declares it a best practice, and issues a directive requiring everyone else to adopt it. This model is consistent with a hierarchical, command-oriented state. It is also a reliable trigger for the immune system, because it threatens local autonomy and invites performative compliance without genuine ownership.

The alternative is **scaling by attraction**. Instead of mandating adoption from above, successful pilots are made visible, transparent, and accessible. Their results are published in forms that other regions and institutions can understand and verify. Their methods are documented in ways that make replication straightforward. Their leaders are made available for peer-to-peer exchange. The central state's role is not to force but to enable: to lower the cost of voluntary adoption, to celebrate successes, and to create conditions in which doing the new thing becomes easier and more rewarding than persisting with the old.

Scaling by attraction is slower than scaling by mandate in the short term. But it is more durable, because adoption is driven by genuine conviction rather than procedural compliance. Regions that choose to adopt a new approach after seeing it work elsewhere are far more likely to implement it thoughtfully and persist through difficulties than regions that are ordered to do so by a distant ministry. The immune system is not triggered because the system is not being attacked; it is being offered an upgrade that it can accept or decline on its own terms.

Over time, as more regions adopt the new practices and integrate them into their own governance cultures, what began as an anomaly becomes a norm. The centre's role shifts from protector of the old order to coordinator of the emerging one—not because anyone declared a revolution, but because enough actors voluntarily chose a different path that the old centre became peripheral.

The transition architecture described here—Trojan Horse wrappers, cross-ideological covenants, safe-to-fail pilots, and scaling by attraction—is not a formula for painless transformation. Any significant shift in how a complex system operates will generate friction, anxiety, and pushback. These mechanisms are not ways to avoid those responses but ways to work with them, to channel them into productive rather than defensive energy, and to give the new logic enough time and space to demonstrate its value before it is judged.

The next section moves from architecture to action, outlining the concrete first step: the proposal for Adaptive Governance Pilot Regions and how they might be brought into being.

7. A Concrete First Step: The Adaptive Governance Pilot Regions

7.1 The Logic of the Pilot

A framework without a first step is a thought experiment. The capacity-building agenda outlined in this essay is deliberately ambitious in scope, but it does not need to be implemented everywhere at once. In fact, attempting to do so would almost certainly trigger the immune response described in Section 5 and produce the paralysis described in Section 2. The wiser path is to begin with contained, protected experiments that demonstrate the new logic in practice and let success do the work of persuasion.

This section proposes the establishment of **Adaptive Governance Pilot Regions** (AGPRs): a small number of geographically defined zones in which the outer hardware, inner operating system, and living infrastructure testbeds described in Section 4 can be developed in an integrated way, with regulatory flexibility, transparent evaluation, and a mandate to learn.

The proposal is not speculative. It draws on established precedents: the German Experimentierklauseln that already allow regulatory exemptions for innovation in sectors like energy and transport; the Finnish model of futures-guided regional development; the UK's devolution deals that grant combined authorities tailored powers in exchange for accountable governance. The AGPR concept adapts these precedents to the specific twin-deficit diagnosis and weaves them into a coherent whole.

7.2 Selection Criteria

The pilots should not be selected purely on the basis of political convenience or willingness. The goal is to create a credible proof of concept, and credibility depends on choosing contexts where the challenges are real, the conditions are representative, and the local capacity to engage seriously is present.

Five criteria should guide selection:

Problem density. The region should face a meaningful cluster of interconnected challenges—for example, housing pressure combined with transport congestion, or industrial transition combined with demographic decline, or energy infrastructure needs combined with land-use conflicts. The point is not to find the most distressed region, but to find regions where the interconnectedness of challenges is unmistakable and the limitations of siloed approaches are visibly costly.

Existing civic infrastructure. The region should have a baseline of functioning institutions, active civil society organisations, and some history of cross-sector collaboration—even if fragmented. The AGPR is not a state-building mission from scratch. It is an upgrade to a system that already has some capacity to absorb it.

A region with no prior experience of cross-sectoral dialogue would struggle to make use of the flexibility the pilot offers; a region with a dense network of engaged actors would accelerate quickly.

Political willingness. At least one significant political actor—a state premier, a powerful mayor, a cross-party coalition—must be genuinely committed to the experiment, not merely tolerant of it. This commitment must include willingness to accept public scrutiny of mixed results and to protect the pilot through its inevitable difficult phases. Without this cover, the safe-to-fail framing collapses at the first setback.

Scalability relevance. The region should be reasonably representative of broader German conditions, not an exotic outlier. If the pilot succeeds only in a uniquely favourable microclimate—an exceptionally wealthy municipality with no industrial legacy and a homogeneous, highly educated population—its lessons will be easy to dismiss as irrelevant to the rest of the country. Diversity across the selected pilots is desirable: urban and rural, eastern and western, growing and shrinking.

Manageable scale. The region should be large enough to contain meaningful systemic interactions but small enough to be governable as a single learning entity. A Landkreis, a cluster of neighbouring municipalities, or a sub-regional planning zone would be appropriate. Entire Länder would be too large for an initial experiment; single villages would be too small to reveal systemic dynamics.

A transparent selection process, with published criteria and an open call for expressions of interest, would itself be a signal of the new governance logic. It would create a constituency of regional actors who have chosen to participate rather than been conscripted—an essential foundation for scaling by attraction.

7.3 Core Design Features

Each AGPR would be shaped by local conditions and priorities, but all would share a set of core design features that embody the capacity-building framework.

Integrated governance mandate. The pilot region would receive a tailored package of regulatory flexibilities and coordination authorities that allow it to treat energy, housing, mobility, education, and land use as a single integrated design space rather than separate administrative silos. This does not mean abolishing existing institutions or creating a new layer of government. It means giving the existing institutions in that region permission to coordinate differently—and providing them with the digital infrastructure, shared data, and facilitation support to do so.

Digital backbone. Each pilot would deploy a regional digital twin—a scaled, local version of the National Digital Twin described in Section 4. This would provide real-time visibility into resource flows, infrastructure utilisation, environmental conditions, and social indicators, allowing decision-makers and

citizens alike to see the systemic interactions that are currently invisible. The digital backbone would also provide a unified permitting and coordination platform, dramatically reducing the administrative friction that consumes so much public investment.

Citizen deliberation infrastructure. Each AGPR would incorporate a standing citizen assembly or equivalent deliberative body, composed of randomly selected residents, provided with expert facilitation and access to the digital twin's data, and empowered to produce recommendations on major regional decisions. The assembly would not replace elected bodies but would provide a structured channel for collective sensemaking that is currently absent. The goal is to build inner capacity—complexity perception, uncertainty tolerance, collaborative problem-solving—among citizens and officials simultaneously.

Cross-ideological funding covenants. A significant portion of the pilot's investment budget would be conditional on joint applications from structurally diverse stakeholder groups, as described in Section 6. An energy transition project, for example, might require co-sponsorship from an environmental organisation, a local business association, and the municipal government. This would force the collaborative muscle to develop early and would generate projects with broader legitimacy and more resilient design.

Adaptive learning framework. The pilot would be evaluated not primarily against fixed output targets—so many houses built, so many megawatts installed—but against a set of systemic capacity metrics: decision cycle times, cross-silo coordination frequency, citizen trust indicators, regulatory conflict resolution speed, and the rate at which innovations are adopted by neighbouring regions. The evaluation would be conducted in real time and published transparently, creating a continuous feedback loop rather than a single end-point judgment. An independent learning partner—a consortium of research institutions—would accompany the pilots from the beginning, documenting not just what happens but how it happens, and making that knowledge available to other regions.

7.4 Budget, Governance, and Legal Basis

Budget. The pilots should be funded generously enough to be serious but not so lavishly that their results are dismissed as unreplicable. A rough envelope of €500 million to €1 billion per pilot over a five-year initial phase would be appropriate, with the majority directed toward the capacity-building infrastructure itself—digital platforms, deliberation processes, coordination staffing, evaluation—rather than toward traditional capital projects. The capital projects would come later, informed by the capacity that has been built. The scale is significant but modest relative to the €500 billion national infrastructure fund; it represents perhaps 1–2% of that total, deployed as a learning investment.

Governance. Each AGPR would be governed by a tripartite board comprising regional elected representatives, civil society leaders, and federal government delegates. This is not a standard administrative structure, and it would require negotiation. The purpose of the tripartite design is to prevent any single level

of government from capturing or suffocating the pilot. The federal government provides resources and regulatory exemptions; the regional government provides democratic legitimacy and local knowledge; civil society provides connection to lived experience and a counterweight to institutional inertia. The board's decisions would be made by consensus wherever possible, with a transparent escalation mechanism for irreconcilable disagreements.

Legal basis. The German Basic Law already provides for experimentation clauses (Experimentierklauseln) in various domains, and the federal system has a long tradition of negotiated flexibility between levels of government. The AGPRs would require a dedicated legal framework—perhaps a Federal Pilot Regions Act—that specifies the scope of regulatory exemptions, the governance structure, the evaluation mandate, and the conditions under which the pilot status can be extended, modified, or terminated. The legislation should include a sunset clause: after five years, the pilots must either be renewed on the basis of demonstrated value or wound down in an orderly fashion. The temporary nature of the legal basis is politically protective; it assures sceptics that the experiment is bounded and reversible.

7.5 How to Measure Success

The success of the AGPRs should be measured in terms that connect directly to the twin-deficit diagnosis.

Outer capacity metrics would include: average permitting time for infrastructure projects, number of cross-jurisdictional data-sharing agreements in operation, percentage of public services available through a single digital portal, speed of regulatory conflict resolution, and administrative cost per project delivered. The baseline would be established before the pilot begins, and progress tracked transparently.

Inner capacity metrics would include: citizen trust in regional governance (measured by survey), participation rates in deliberative processes, diversity of stakeholders engaged in collaborative projects, reported experience of agency and complexity tolerance among citizens and officials, and the rate at which local innovations are adopted by other regions without central mandate. These are less familiar as policy metrics, but they are measurable, and measurement instruments already exist in the social science literature.

Systemic outcome metrics would include: carbon emission reductions, housing affordability trends, transport mode shifts, and economic resilience indicators. These are not direct outputs of the capacity-building; they are the downstream results that the capacity-building enables. They should be tracked but not treated as the primary evaluation criteria, because capacity-building is a medium-to-long-term investment, and judging it by short-term outcome metrics would replicate the impatience that the whole framework is designed to overcome.

The evaluation would be published in accessible, visual formats—public dashboards, annual learning reports, peer exchange workshops—designed to make the pilots' experience legible to other regions, to the federal government, and to the broader public. Transparency is not just a democratic nicety. It is the engine of

scaling by attraction.

7.6 A Note on Timing

Germany is currently in a moment of unusual fluidity. The Zeitenwende, the infrastructure fund, the energy transition, and the demographic pressure are combining to create an opening for structural reform that has not existed for decades. Such openings do not remain open indefinitely. They close when the immediate sense of urgency fades, when the money is allocated through the old channels, or when a new crisis reshuffles the political agenda.

The AGPRs should be launched within the current legislative period—not in five years, not after another round of commissions. The legal framework can be drafted within a year. The first pilots can be selected and operational within two. The window is finite.

The proposal is not to delay other investments while the pilots run. The infrastructure fund, the defence modernisation, the energy transition—all of these should proceed. But a small fraction of the available resources should be deployed into the capacity-building that will determine whether those larger investments succeed or dissolve into the friction machine. The AGPRs are not an alternative to action. They are the mechanism for ensuring that action becomes increasingly intelligent over time.

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8. Coda: From Spending to Sensing

8.1 The Wealth That Matters

Germany is rich. This much is not in dispute. The public balance sheet, even after absorbing the shocks of pandemic, war, and energy crisis, remains the foundation of European economic stability. The infrastructure fund is real. The Zeitenwende is funded. The resources exist.

But wealth, in the sense that matters for a society's long-term flourishing, is not ultimately measured in euros. It is measured in the capacity to perceive reality clearly, to make decisions of appropriate complexity, to execute those decisions efficiently, and to learn from experience in time for the learning to matter. On that measure, Germany has been running down its reserves for decades.

The spending mirage is the belief that a large enough number on a budget line can substitute for these capacities. It cannot. Money poured into a low-capacity system does not disappear, but it changes form. It becomes delay, friction, inflated costs, and the quiet erosion of public trust. It funds the friction machine. It maintains the illusion of action while deferring the substance.

This essay has argued that the way out of the mirage is not to try harder to agree on spending priorities. It is to rebuild the capacity to spend intelligently—and then to let that capacity reveal what is worth doing.

8.2 The Shift

The shift this requires is subtle but profound. It is the difference between treating government as a machine that allocates resources and treating it as a living system that senses, learns, and adapts. It is the difference between asking "what should we buy?" and asking "how do we become capable of deciding?"

The first question belongs to a world that is stable enough that the main challenge is choosing correctly among known options. The second belongs to a world in which the options themselves are shifting, the interdependencies are deepening, and yesterday's correct choice can become tomorrow's liability without anyone noticing the inflection point.

Germany is living in the second world but still asking the first question. The result is the exhausted, circular debate described at the opening of this essay: a nation standing in a warehouse of resources with no coherent way of sensing what to build.

The twin deficit framework—outer capacity and inner capacity—offers a diagnosis of why this is happening. The investment framework offers a way to rebuild both. The transition architecture offers a strategy for doing so without being consumed by the institutional immune system. The pilot proposal offers a concrete first

step.

What none of these can offer is a guarantee. Capacity-building is an investment in the conditions under which better decisions become more likely. It is not a formula that produces correct decisions automatically. A system with high adaptive capacity will still make mistakes. The difference is that it will make them faster, learn from them sooner, and correct course before the mistakes compound into catastrophes.

Germany does not need to become infallible. It needs to become capable of learning at the speed of its challenges.

8.3 The Invitation

This essay has been written for people who already sense that something is off. Not specialists, not necessarily policy professionals—but people who have noticed that the public conversation feels stuck in a loop, that the old categories don't capture what is happening, and that there must be a more satisfying way of making sense of the present moment.

If you are such a person, the argument presented here is not a policy platform to be adopted or rejected. It is a lens to be tried on—a way of seeing that might make the landscape more legible and the possibilities more visible. The next time you hear a debate about what Germany should spend its money on, notice whether anyone is asking about the system through which the money will flow. Notice whether anyone is talking about the outer hardware that determines whether a billion euros becomes a bridge or a decade of legal fees. Notice whether anyone is talking about the inner operating system that determines whether the decisions being made are wise or merely familiar.

If they are not—and they usually are not—you will have identified the real gap. The spending mirage will have become visible to you. And once it is visible, it can be addressed.

8.4 The Ultimate Investment

A Stage Yellow perspective ultimately recognises that the most valuable thing a society can invest in is its own ability to sense what is emerging and respond creatively. Everything else—the bridges, the grids, the schools, the hospitals—are expressions of that underlying capacity. When the capacity is strong, the expressions are appropriate and adaptive. When the capacity is weak, even the most generously funded projects become monuments to a world that no longer exists.

Germany has the money. What it has lacked is the permission to invest in the capacity to use it wisely—because capacity-building is harder to photograph than a bridge, harder to announce than a spending package, harder to measure than a procurement target. It is invisible infrastructure. And invisible things are the first to be neglected when budgets are allocated and attention is scarce.

The argument of this essay is that the invisible infrastructure is now the binding constraint. The outer hardware must be rebuilt. The inner operating system must be cultivated. The living testbeds must be launched. And the whole effort must be wrapped in a transition architecture that gives it a chance to survive.

This is not a retreat from the urgent challenges Germany faces. It is the only way to meet them without being consumed by the friction machine that has swallowed so much good intention. It is the difference between spending and sensing, between allocating and learning, between performing action and building the capacity to act.

8.5 A Final Word

The German word

Zukunftsfähigkeit

translates loosely as "future-viability" or "future-capability." It is a concept that hovers at the edge of political discourse without quite landing—invoked in speeches, sprinkled through strategy documents, but rarely given operational content.

What if it were taken seriously?

What if the measure of a society's wealth were not the size of its budget surplus but the speed at which it could learn? Not the volume of its infrastructure spending but the quality of the decisions that the spending represented? Not the stability of its institutions but their capacity to evolve?

The money is there. The challenges are there. The window for structural reform is open, for now. The only missing ingredient is the willingness to invest in the one thing that makes all other investments possible: the adaptive capacity of the system itself.

That is the spending mirage, and the way through it. The rest is detail.

Afterword: A Note on This Essay Itself

This essay has argued that transformative ideas must be wrapped in forms that the existing system can metabolise. It has proposed Trojan Horse mechanisms, cross-ideological covenants, and scaling by attraction. It would be inconsistent not to apply that same logic to the essay itself.

The argument presented here is, in its underlying structure, a Stage Yellow intervention. It sees the German situation from a second-tier perspective that integrates the legitimate concerns of multiple value systems while transcending their limitations. But the essay has deliberately avoided announcing itself in those terms. It has spoken the language of state capacity, decision quality, and administrative modernisation—terms that the existing system can hear without immediate immunological rejection.

If you have found the argument useful, the conceptual vocabulary exists to take it further. The Spiral Dynamics framework offers a fuller map of the value systems at play. Adaptive governance theory offers a deeper toolkit for designing institutions that learn. The references in Appendix C provide entry points.

But the essay's primary purpose is not to recruit you to a framework. It is to make one thing visible that was previously invisible: the twin deficit at the heart of Germany's current paralysis, and the possibility of addressing it. If that has been achieved, the essay has done its work. What you do with that vision is, by design, up to you.

Appendix A: Value Systems and Policy Mindsets — A Brief Guide

A Note on This Appendix

The main body of this essay deliberately avoids specialised terminology from developmental psychology or cultural theory. It speaks the language of state capacity, decision quality, and administrative modernisation. This appendix offers a complementary lens for readers who wish to understand the deeper patterns behind the surface dynamics. It is optional, but it makes the essay's underlying logic fully transparent.

A.1 The Basic Insight

Different people, groups, and even whole societies tend to operate from different "centres of gravity" in how they think about governance, resources, and change. These are not personality types or party affiliations, though they correlate loosely with both. They are underlying value systems—ways of constructing what feels real, legitimate, and important.

Each value system represents a coherent response to particular life conditions. None is "better" in any absolute sense. Each has characteristic strengths that emerge under certain conditions and characteristic blind spots that emerge under others. The challenge of governance in a complex society is to integrate the legitimate concerns of multiple value systems without being captured by any single one.

The framework used here draws on a body of work known as Spiral Dynamics integral theory, which traces how value systems evolve in response to changing life conditions. What follows is a simplified map of the systems most relevant to contemporary German governance.

A.2 The Value Systems in Brief

Order and Stability (sometimes called "Blue"). This mindset prioritises predictability, procedural correctness, hierarchy, and the integrity of established structures. It emerged as a response to chaos and arbitrariness, and it remains the foundation of the rule of law. Strength: reliability, fairness, institutional memory. Blind spot: rigidity, slow adaptation, treating procedures as ends rather than means. In German context: the constitutional state, the civil service tradition, the principle of Rechtsstaatlichkeit.

Achievement and Efficiency (sometimes called "Orange"). This mindset prioritises outcomes, innovation, competition, and measurable results. It emerged as a response to stagnation and unchallenged authority, and it drives economic dynamism and technological progress. Strength: entrepreneurial energy, optimisation,

performance orientation. Blind spot: externalities, inequality, treating what cannot be measured as unimportant. In German context: the export economy, the engineering culture, the focus on competitiveness and growth.

Inclusion and Care (sometimes called "Green"). This mindset prioritises equity, participation, protection of the vulnerable, and ecological awareness. It emerged as a response to exploitation and exclusion, and it deepens democracy and expands the circle of moral concern. Strength: empathy, community, attention to marginalised voices and environmental limits. Blind spot: consensus-dependency, aversion to hierarchy and hard trade-offs, sometimes substituting moral judgment for systemic analysis. In German context: the environmental movement, citizen participation demands, the social welfare ethos.

Integrative and Systemic (sometimes called "Yellow"). This mindset prioritises functional fit, systemic awareness, and the capacity to integrate multiple perspectives without being captured by any of them. It emerges as a response to the limitations of all single-system approaches in the face of complex, interconnected challenges. Strength: flexibility, whole-systems thinking, comfort with uncertainty and experimentation. Blind spot: can appear detached, overly complex, or politically unworkable to those operating from other mindsets. In German context: nascent in some reform circles, futures studies, and complexity-informed policy work, but not yet institutionalised.

A.3 Why This Matters for the Essay

The German governance system is currently dominated by a mixture of the first three mindsets. This is not a failure. Each of them has built essential infrastructure—legal, economic, social—that a healthy society requires. The difficulty arises when the interaction of these mindsets produces gridlock, and when the challenges facing the system become too complex to be adequately addressed by any of them acting alone.

The essay's argument is implicitly integrative in character. It attempts to address the legitimate concerns of each mindset while pointing toward a form of governance that can hold more complexity than any single mindset can manage. The outer capacity investments speak to the achievement-and-efficiency mindset (measurable improvements, reduced friction) and the order-and-stability mindset (better legal coherence, clearer procedures). The inner capacity investments speak to the inclusion-and-care mindset (psychological wellbeing, participation) while being framed in terms that also resonate with the achievement mindset (decision quality, crisis readiness). The living infrastructure testbeds create spaces where all three can observe a more integrative logic in practice.

This is not an attempt to impose a "higher" mindset on anyone. It is an attempt to build a governance architecture that can honour and utilise the strengths of all of them while compensating for their blind spots.

Appendix B: International Analogues and Precedents

The proposals in this essay are not without precedent. The following examples illustrate existing implementations of capacity-building approaches and pilot-based reform strategies.

B.1 Estonia: Digital-First Government

Estonia's e-governance infrastructure processes over 99% of public services online through a unified digital identity layer. Building permits are issued in days, tax filings take minutes, and citizens can access their complete data trail with full transparency about who has viewed their information. The system was built incrementally after independence, using a clear legal framework (the Public Information Act) and a deliberately modular technical architecture. Key lesson: digital transformation requires both a legal basis and a sustained political commitment to interoperability standards. It is not a technology project; it is a governance project.

B.2 Finland: Futures Literacy and Regional Pilots

Finland has embedded futures thinking into government through multiple channels. The Committee for the Future in Parliament conducts foresight exercises and reviews government policy from a long-term perspective. The Finnish Innovation Fund (Sitra) has run nationwide futures literacy programmes demonstrating measurable increases in participants' sense of agency and complexity tolerance. At the regional level, Finland has experimented with anticipatory governance zones that integrate futures methods into planning. Key lesson: futures literacy can be systematically cultivated and yields tangible improvements in decision-making confidence.

B.3 Taiwan: Digital Democracy Infrastructure

Taiwan's vTaiwan and Join platforms combine digital deliberation with real policy impact. vTaiwan uses a structured process of open consultation, facilitated deliberation, and consensus-seeking to develop policy proposals on contentious issues (Uber regulation, alcohol sales online). The process is supported by a dedicated civil society organisation (g0v) and has produced legislation that would have been politically impossible through traditional channels. Key lesson: citizen deliberation works at scale when it is well-facilitated, digitally supported, and given genuine policy weight.

B.4 United Kingdom: Devolution Deals and Combined Authorities

The UK's devolution deals have created Combined Authorities with tailored powers over transport, housing, skills, and economic development in exchange for accountable governance structures (directly elected mayors). Greater Manchester's health and social care devolution is a leading example of integrated public

service governance at the sub-national level. Key lesson: asymmetric devolution—giving different regions different powers based on their readiness and needs—can work politically and administratively when accompanied by robust evaluation.

B.5 Germany: Existing Experimentierklauseln

Germany already has a tradition of regulatory experimentation clauses (Experimentierklauseln) in sectors such as energy (SINTEG programme), transport (autonomous driving zones), and healthcare (integrated care pilots). The Öffnungsklausel in the Renewable Energy Act has allowed Länder to set their own rules for wind turbine distance requirements. These precedents provide a legal foundation for the AGPR proposal. Key lesson: the concept of bounded regulatory experimentation is already accepted in German law; the task is to scale it from single-sector exemptions to integrated, multi-domain pilots.

Appendix C: Bibliography and Source Notes

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C.5 On Digital Infrastructure and Policy Innovation

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Appendix D: Frequently Anticipated Questions

D.1 "Isn't this just a call for more bureaucracy to fix bureaucracy?"

No. The argument is not to add new administrative layers but to make the existing ones more coherent, faster, and more transparent. The digital backbone, regulatory pruning, and polycentric coordination described in Section 4 are specifically designed to reduce the number of separate steps, handovers, and conflicts that currently constitute the friction machine. If successful, the overall administrative burden on citizens, businesses, and public servants would decrease.

D.2 "How is inner capacity different from expensive social programmes?"

The inner capacity investments are framed and evaluated in terms of state capability: decision quality, crisis response speed, policy error rates, learning speed, and economic adaptability. This is a different logic from welfare spending aimed at redistribution or social protection. Mental health infrastructure, for example, is presented not as a compassionate benefit but as a strategic investment in the cognitive and emotional resources needed for collective problem-solving under uncertainty. The two logics can coexist, but they are distinct.

D.3 "Aren't the pilots just an excuse to delay real action?"

The pilots are not proposed as an alternative to ongoing spending and reform in defence, infrastructure, energy, and other domains. They are proposed as a complement—a small fraction of total resources deployed to build the capacity that will determine whether those larger investments succeed. Moreover, the pilots are designed to begin within two years and produce visible learning within five. This is not a strategy of indefinite delay. It is a strategy of simultaneous action and learning.

D.4 "How does this account for geopolitical urgency?"

The Zeitenwende has made clear that Germany faces threats that require rapid, decisive action. The argument of this essay is that rapid, decisive action is exactly what a low-capacity system cannot deliver. The more urgent the challenge, the more important it is to invest in the outer and inner capacities that enable speed and decisiveness. A military procurement system that takes decades to deliver equipment is not a geopolitical asset. A policy apparatus that cannot make trade-offs between energy security, climate targets, and industrial competitiveness is a liability. Capacity-building is not a distraction from geopolitical reality. It is a response to it.

D.5 "What can I actually do with this?"

If you hold a position in government, the civil service, a foundation, a business association, or a civil society organisation, you can ask the questions this essay raises within your own sphere:

> *Are we investing in the outer hardware that determines whether our decisions can be executed? Are we investing in the inner operating system that determines whether our decisions are wise? Are we building our own adaptive capacity, or are we just allocating resources through old channels and hoping for different results?*

The first step is making the invisible visible. The second is starting a conversation that refuses to stay within the old categories.

Appendix E: About this essay and how it was made

How it was made

This essay was generated by AI language models (Claude, ChatGPT, DeepSeek) from prompts by Björn Kenneth Holmström. He chose the topic, posed the questions and decided to publish the result, but wrote little of the text himself.

The essay has not been systematically fact-checked. Statements about German institutions, laws, budgets, events, figures and sources may be inaccurate or invented, and should be verified against primary sources before being relied on or cited.

Perspective and limits

Neither the models nor the person who prompted them write from within the policy establishment. Björn Kenneth Holmström has studied engineering physics and has a long-standing personal interest in systems thinking, complexity and governance. He has no formal training or professional experience in German public administration, economics or political science. The framework applied here draws on complexity science, developmental psychology and governance theory.

That distance limits access to the granular, day-to-day texture of policy-making. An outside lens can sometimes raise questions that the centre has learned not to hear, but it can just as easily miss what insiders know. The essay does not claim insider knowledge. It offers a lens that may or may not prove useful to those who hold institutional positions and are searching for frameworks that make sense of what they are experiencing.

Feedback, criticism, and corrections are welcome. The argument is offered in the spirit of collaborative sense-making, not definitive pronouncement.
